

HALF-YEAR ECONOMIC AND FISCAL UPDATE OF 2021

MINISTRY OF FINANCE AND ECONOMIC MANAGEMENT

Fiscal Responsibility

This Half-Year Economic and Fiscal Update has been prepared pursuant to Section 15, Part 1 of the Public Finance and Economic Management Act. The document has been prepared in compliance with the principles of responsible fiscal management as specified in the Act.



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OVERVIEW

The Coronavirus of 2019 (COVID-19) has crippled economies worldwide since it was first pronounced as a pandemic in 2020. 18 months on, after much time and resources have been devoted towards adjusting to the new norm, the International Monetary Fund (IMF) projects positive growth ahead for the World's GDP. The April 2021 World Economic Outlook (WEO)¹ estimated real economic growth of 6.0 per cent in 2021 and a further 4.4 per cent in 2022. In comparison, the January 2021 WEO² placed these figures at 5.5 per cent for 2021 and 4.2 per cent for 2022. These upward revisions reflect the considerable and commendably fruitful research and development efforts of the science community in ultimately deploying multiple vaccines for public use by the end of 2020. Given each major economic region's access to vaccines together with other relevant public health and economic countermeasures that its member countries impose, the disparity in growth rates is not unanticipated.

The pandemic has induced severe economic contractions across much of the Pacific Island Countries (PICs), the largest impact of which was felt by the tourism-dependent countries like Palau and Fiji. Other PICs that rely on commodity exports have also experienced a decline in commodity demand and prices as reported in the April 2021 Pacific Island Monitor³. The tight restrictions imposed at international trading ports have also depressed the importation of capital goods, further impeding the progress of infrastructure and reconstruction projects.

In light of recent developments, the Macroeconomic Committee (MEC) has since quarter 1 2021 downgraded Vanuatu's economic growth forecasts for both 2021 and 2022 significantly. The Real GDP growth forecast has been downgraded from 4.0 per cent to 2.0 per cent for 2021, and from 4.5 per cent to 3.7 per cent for 2022. On the 8th of July 2021, the COVID-19 State of Emergency was extended from the 1st of August 2021 to the 31st of December 2021. All previously-imposed countermeasures against the pandemic thus remain as the Ministry of Health spearheads the vaccination of the population. While Vanuatu remains COVID-19-free, it has not been immune to the negative economic effects of the pandemic. Of these, the demand-side shock of zero international tourists and the supply-side shock of increased international freighting prices are key. The Government has recognised this and so has taken the necessary proactive steps to ensure our economy does not perform as badly as it would have without Government support. As the first phase of the Economic Stimulus Package draws to a close, the second phase has commenced, strategically aimed at addressing cash flow issues and constraints to balance sheets faced by distressed businesses, and the declines in employment and production. Through fast-tracking the implementation of projects and employing appropriate government policies, the Government also aims to promote both public and private spending in the domestic economy to in turn boost economic activities in both urban and rural areas.

Over the medium term, economic activity (at 2009 prices) is projected to expand by an annual average growth of 3.1 per cent driven mainly by the sectors of Agriculture, Forestry and Fisheries, and Industry in continuing to implement Tropical Cyclone (TC) Harold recovery programs and major government infrastructure projects. The Services sector's trajectory, on the other hand, will continue to be determined by how effective the Vanuatu government designs and implements policy in the aftermath of the pandemic to revive tourism and other related sub-sectors.

¹ <https://www.imf.org/-/media/Files/Publications/WEO/2021/April/English/text.ashx>

² <https://www.imf.org/-/media/Files/Publications/WEO/2021/Update/January/English/text.ashx>

³ <https://www.pftac.org/content/dam/PFTAC/Documents/Publications/PacificIslandsMonitor-Issue14-April2021.pdf>

The Government's financial position as of the end of June, as depicted by the total net operating balance (revenue minus expense) excluding donor funds, is positive. The operating surplus is VT 1,050.6 million, which is equivalent to 0.9 per cent of GDP (current prices). The Government's net lending position (Net Operating Balance minus Net Acquisition of Non-Financial Assets) excluding donor financing came to VT 606.3 million (0.5 per cent of nominal GDP).

Government receipts during the first half of 2021 totalled VT 14,996.1 million, which is 7.6 per cent lower compared to the VT 16,226.3 million recorded during the same period last year (see Table 1). This is mainly because the COVID-19 pandemic only started affecting revenue from March onwards last year, whereas it has affected collections every month so far this year. Within Government receipts, tax revenue came to VT 7,676.1 million, which is 5.8 per cent less than in 2020. Revenue from the honorary citizenship programs, the Vanuatu Development Support Program (VDSP), and the Vanuatu Contribution Program (VCP), (the main components of non-tax revenue, amongst other fees and charges) totalled VT 5,652.5 million in the first six months of 2021. This year's 20.8 per cent lower collection than the VT 7,135.8 million collected in the first six months of 2020 was heavily influenced by the prolonged impacts of the COVID-19 pandemic. Disruption to the supply chain has resulted, ultimately affecting consumption as well. Government expenses over the first six months this year came to VT 13,945.5 million, which is 4.7 per cent less than VT 14,633.2 million recorded over the same period of 2020.

Table 1: Summary of fiscal aggregates, excluding donor funds, from 2019 – 2021 (VT millions)

	Actuals 2019	Actuals Jan – June 2020	Actuals Jan – Dec 2020	Budget 2021	Actuals Jan – June 2021
Revenue	33,254.5	16,226.3	33,932.4	34,313.0	14,996.1
Expenses	25,580.1	14,633.2	31,391.1	33,304.7	13,945.5
Net Operating Balance (Revenue minus expense)	7,674.4	1,593.1	2,541.2	1,008.3	1,050.6
Acquisition of Non- Financial Assets	1,000.6	448.9	1,619.7	1,415.8	444.3
Net Lending / Borrowing (Net Operating Balance minus net acquisition of non-financial assets)	6,673.8	1,144.2	921.6	-407.5	606.3
Net Lending / Borrowing as a percentage of Nominal GDP	6.1 per cent	1.1 per cent	0.9 per cent	-0.4 per cent	0.5 per cent

Source: Department of Finance and Treasury

WORLD ECONOMIC OUTLOOK

Global growth continues to face the uphill battle of trying to contain the new delta variant from spreading rapidly while simultaneously stimulating sectoral growth. The closure of borders has drastically reduced the fiscal space for most developing economies and has seriously impacted tourism-dependent countries. Respective Governments are thus trying their best to introduce economically-prioritised policies that enhance recovery over the medium term.

More than one year into the COVID-19 pandemic, the second and third waves of the pandemic continue to cast uncertainty over the global economic forecast. While the IMF April 2021 WEO reported a much stronger forecast for 2021 and 2022 (real GDP growth of 6.0 per cent and 4.4 per cent, respectively) than the pre-pandemic forecasts – on account of tighter trade tensions between the United States (US) and China – the dual health and economic nature of the pandemic makes it particularly difficult to form and hold assumptions with confidence. The higher forecasts are a product of starting from a lower base (given the sharp decline in 2020 output), the additional fiscal support in a few large economies, the anticipated vaccine-powered recovery over the second half of 2021, and the continued adaptation of economic activity to subdued mobility. After more than a year of loss of lives and livelihoods, global growth is projected at 6.0 per cent in 2021 and 4.4 per cent in 2022. The projections are 0.8 percentage points and 0.2 percentage points stronger for 2021 and 2022, respectively than the October 2020 WEO. Further developments on projections will depend on the path of the health crisis and especially whether the new COVID-19 strains prove susceptible to vaccines. Policy objectives will continue to be tailored to each country's circumstances.

Table 2: Summary of World Economic Outlook (WEO) Growth Projections by Economic Revision (as at April 2021)

World Economic Outlook									
	2018	2019	2020	2021	2022	2023	2024	2025	2026
World Output	3.6	2.8	-3.3	6.0	4.4	3.5	3.4	3.3	3.3
Advanced Economies	2.1	1.5	-5.0	5.4	3.6	1.5	1.4	1.4	1.3
US	3.0	2.2	-3.5	6.4	3.5	1.4	1.5	1.6	1.6
Euro Area	1.9	1.3	-6.6	4.4	3.8	1.9	1.6	1.4	1.3
Japan	0.6	0.3	-4.8	3.3	2.5	1.1	0.7	0.6	0.5
China	6.7	5.8	2.3	8.4	5.6	5.4	5.3	5.1	4.9
Emerging Markets and Developing Economies	4.5	3.6	-2.2	6.7	5.0	4.7	4.6	4.5	4.4

Source: International Monetary Fund April 2021 WEO

In the advanced economies, as the vast majority of the adult population gets vaccinated, routine activities are expected to gradually resume and significantly drive up momentum in growth. Consistent with this, the growth projection for the advanced economies has been upgraded to 5.1 per cent in 2021 and 3.6 per cent in 2022. The US, in particular, is projected to exceed the global average growing at a rate of 6.4 per cent in 2021 – an upward revision from the October 2020 WEO of 3.1 per cent – in favour of the additional fiscal stimulus approved by Congress at the end of 2020. Such is also the case for Japan. In the Euro area, following the surge in infections from late 2020 to early 2021, the growth forecast for the current year was revised downward. Advanced economies are nevertheless expected to recover from the pandemic faster than most of the emerging market economies, reflecting their easier and earlier access to vaccination and greater capacity to maintain supportive macroeconomic policies. Given the high degree of interdependence, monetary policy in the advanced economies, especially in the US, still has a large impact on financial conditions in emerging market economies.

Growth in the emerging markets and developing economies was revised upward by 0.7 percentage points to 6.7 per cent in 2021 and 5.0 per cent in 2022. While this hinges on the success of vaccination programs and control measures, the high demand for vaccines, unfortunately, exceeds the capacity to manufacture and distribute them quickly and efficiently; especially more so for the emerging markets and developing economies relative to the advanced economies. As such, lockdowns and containment measures may be needed more frequently in 2021 and 2022, increasing the likelihood of medium-term scarring effects on the potential output of these countries. Impressively, China returned to pre-COVID-19 production in 2020, with many others not expecting to do so until well after 2022. Growth in China is expected to peak at 8.4 per cent in 2021 before moderating to 5.6 per cent in 2022 – a strong recovery

driven by effective containment measures, a forceful public investment response, and central bank liquidity support. Over the short term (i.e. the next year), emerging market economies are expected to follow the lead of central banks in advanced economies, by implementing a strongly countercyclical monetary policy response, for example, increasing the money supply.

Commodity prices are expected to rise over the coming months in line with the projected global recovery. Oil prices, in particular, have been rising steadily so far this year. Given commodities' record-low levels of 2020, firmer prices are expected to translate to elevated consumer price indices which would in turn cause headline inflation to be temporarily volatile over the coming months. Labor markets are still left reeling from the pandemic with markedly elevated levels of unemployment and underemployment. Despite the extraordinary policy support, unemployment rates have risen by about 1.5 percentage points above their pre-pandemic averages in both advanced economies and emerging markets and developing economies.

REGIONAL ECONOMIC OUTLOOK

According to the IMF's April 2021 Pacific Islands Monitor, Asia & Pacific, all PICs have suffered setbacks from the pandemic. Although most PICs have successfully managed to prevent local outbreaks, economic activities remain relatively low in 2020, with growth averaging 4.5 per cent. Across the Pacific region, the largest impact was felt by tourism-dependent countries including Fiji and Palau with output contract by 19.0 per cent and 10.3 per cent, respectively, in 2020. Growth is expected to rebound in both countries in 2021, rising to 5.0 per cent for Fiji, while remaining subdued for Palau at -10.8 per cent.

Furthermore, the decline in commodity prices coupled with the weak demand has undermined economic growth in commodity-exporting countries such as Papua New Guinea and the Solomon Islands, registering 2020 contraction in output at 3.9 per cent and 3.2 per cent, respectively. A rebound in growth is expected in both countries at 3.5 per cent and 1.5 per cent in 2021.

The closure of borders has disrupted the importation of capital goods and the arrivals of foreign experts in the Marshall Islands, Micronesia, Solomon Islands, Tonga, and Vanuatu. In most of these countries, border closure has translated into a weakening of construction activities which have affected industry output and resulted in declining shares in global production. Overall, the contraction in 2020 was less severe than previously anticipated as Governments have implemented appropriate measures to counter the expected downfall in productivity and support the most vulnerable members of society.

The Australian and New Zealand economies have been projected to recover and record positive growth rates for 2021 and the medium term. Australia has exhibited resilience in light of the fact that immediately before the pandemic took hold of its economy, it had faced a series of natural disasters. The pandemic thus heavily impacted the production side of the economy first before trickling through to the demand side of the economy. Economic growth in New Zealand is projected to pick up gradually from the second half of 2021, conditional on the progressive reopening of international borders, which could see it reaching 4.0 per cent in 2021 and 3.2 per cent in 2022. Private consumption is expected to remain robust, bolstered by the recent minimum wage increase and the wealth effect from rising house prices.

Table 3: APD⁴ Pacific Island Countries: Real GDP (year-on-year change; per cent)

Regional Economic Outlook									
	2018	2019	2020	2021	2022	2023	2024	2025	2026
Regional (Excl. AU & NZ)	2.5	2.6	-4.5	-0.6	4.2	4.1	2.6	2.3	2.2
Fiji	3.8	-0.4	-19.0	5.0	9.0	6.5	4.8	3.7	3.3
Papua New Guinea	-0.3	5.9	-3.9	3.5	4.2	2.5	2.6	2.8	2.8
Samoa	-2.1	3.6	-3.2	-7.8	1.7	3.0	3.5	2.5	2.1
Solomon Islands	3.9	1.2	-4.3	1.5	4.5	4.3	3.3	3.0	2.9
Australia	2.8	1.9	-2.4	4.5	2.8	2.3	2.3	2.4	2.5
New Zealand	3.4	2.4	-3.0	4.0	3.2	2.6	2.5	2.4	2.5

Source: Pacific Island Monitor, Asia & Pacific, Issue 14 April 2021

For the region, the fiscal balance deteriorated from 3.5 per cent of GDP in 2019 to 0.3 per cent in 2020 while public debt, on average, rose from 33.0 per cent of GDP to 38.0 per cent of GDP over the same period. The PICs as a group are expected to take a longer time to recover than emerging markets and developing economies on account of the uncertainty over how long it will take to fully vaccinate all residents. This remains a key risk to the economic outlook. In line with expansionary fiscal policy employed as a countermeasure to the pandemic, government expenditure is forecasted to remain high, against lower revenue. Consequently, the fiscal balance is expected to worsen from a surplus of just 0.3 per cent of GDP in 2020 to a deficit of 4.3 per cent in 2021. Current account balances are expected to weaken further for many PICs in 2021 as borders remain closed for all of 2021 and loss of tourism-related inflows will continue for many countries in the region. As such, the scarring social effects of the pandemic will continue to be felt across the region by way of unemployment in the formal sector, higher inequality, and even higher levels of poverty.

VANUATU ECONOMIC OUTLOOK (VEO)

Real Sector Update

Vanuatu suffered from a category five tropical cyclone in 2020, the detrimental effects of which were further exacerbated by the global outbreak of the COVID-19 pandemic. The main assumptions made earlier were that border restrictions would have started to relax and major infrastructure projects would have commenced and made good progress in 2021. Since these did not materialise, the growth projection for 2021 had to be revised down from 4.0 per cent to 2.0 per cent, and for 2022 from 4.5 per cent to 3.7 per cent. On the upside, the slow positive growth over 2021 and 2022 is expected to be supported by the ongoing vaccination program, the second phase of the economic stimulus package, and the implementation of the delayed infrastructure projects. The ongoing vaccination program may restore confidence if its steady progress can be maintained. Growth is expected to remain on average above 3.0 per cent over the medium term, driven mostly by the agricultural and industrial sectors in line with TC Harold recovery programs and planned infrastructure projects. How the services sector – which has been heavily impacted by the pandemic – performs over the medium term will depend largely on how well Vanuatu and its counterparts cope with COVID-19 as it evolves.

⁴ Asia and Pacific Department

Table 4 – Growth in Real Gross Domestic Product (percentage change)

	Vanuatu Economic Outlook								
	Actual	Estimate		Forecast					
	2018	2019	2020	2021	2022	2023	2024	2025	2026
Real GDP Growth (2006 prices)	2.9	3.9	-2.6	4.0	4.5	3.8	3.1	3.0	2.9
Agriculture, Fishing and Forestry Sector	0.9	4.0	3.6	4.1	4.0	3.9	3.2	3.1	3.1
Industry Sector	4.9	9.8	2.2	19.9	14.4	8.7	4.5	4.0	3.4
Services Sector	0.8	3.3	-5.6	1.6	2.9	2.7	2.5	2.5	2.5

Source: National Statistics Office and Macroeconomic Committee (MEC) 2 2021 Estimates

As Vanuatu continues to deploy effective countermeasures against the pandemic at its international borders, the Government has maintained an expansionary fiscal policy to support the economy. Government policies for the agriculture, fishing, and forestry sector remain on track with the growth forecast maintained at 4.0 per cent in 2021 and 3.7 per cent in 2022. With the closure of international borders, individuals and households turn to agriculture and fishing activities for income, as well as participating in the overseas seasonal employment schemes in Australia and New Zealand. The 11th EDF also supports the agriculture, fishing, and forestry sector, having positive spillover effects in the domestic economy. The industry sector, historically being the main driver of the economy, is projected to grow by 6.7 per cent this year before accelerating at a rate of 13.7 per cent in 2022 with the confidence that infrastructural projects will be implemented accordingly. The services sector is projected to experience a slower growth of 0.9 per cent in 2021 and then improve to 2.0 per cent in 2022 depending mainly on the global pandemic.

The current expansionary fiscal policy is anticipated to boost aggregate demand. As part of the policy, the second phase of the economic stimulus, ongoing road construction projects, and government and donor-funded projects through line agencies are expected to keep consumption solid. The domestic land and property markets are also expected to perform well, especially in the islands of Santo and Efate, with demand mainly coming from the domestic market. The fiscal policy stance will boost growth but give rise to temporary expected inflation – a result of the disruption to supply chains manifested in a forced disequilibrium between the demand and supply of goods and services. Public debt continues to remain at a manageable level but may likely rise, driven by pressure on public spending.

Agriculture Sector

The MEC Quarter 2 growth forecasts support a downward revision in the agriculture sector. As at the time of the 2022 budget formulation, growth forecasted was 4.2 per cent in 2021 and 4.0 per cent in 2022; these were subsequently downgraded to 4.0 per cent and 3.7 per cent respectively. The positive growth projections in this sector reflect the ongoing implementation of government policies in the sector, the 11th EDF, and TC Harold recovery programs. Whilst production for domestic consumption continues, the ongoing pandemic has progressively been tightening up port restrictions and consequently slowing down the production of agricultural produce for exports. While the rate at which Government-funded policies had been implemented so far this year has been slower than anticipated, the Government remains determined to ensure planned programs for the sector are undertaken.

Despite the pandemic, the Quarterly Statistical Indicator (QSI) for the fourth quarter of 2020 from the Vanuatu National Statistics Office shows perseverance in the major commodity exports of copra, kava, cocoa, and coffee. The 2020 QSI shows declines in the exports of kava and cocoa from 2019 to 2020 and an increase for both copra and coffee. Crop production alone is forecasted to grow by 4.4 per cent in 2021 and 4.1 per cent in 2022. Fruits and vegetables, commercially produced, have improved especially for planned export programs like Tahitian lime, passionfruit, taro, and manioc. The Government copra subsidy program continues this year, however, current overseas labour programs have been reducing and may continue to drain the labour force that would have otherwise remained to

drive the production of copra as a labour-intensive commodity. Cocoa, on the other hand, while remaining solid in production in response to price stability, is very sensitive to the exogenous shock of changing weather patterns. Over the medium term, the category of fruits and vegetable production is expected to increase, supported by the 11th EDF program, while export price elasticity will be the main determinant of the level of production in cocoa, coffee, and kava.

Animal production is expected to grow by 2.6 per cent in 2021 and 1.7 per cent in 2022. The QSI 2020 (Quarter 4) showed an increase in beef (veal) exports from 2019 to 2020 by over 6.0 per cent in value. The second phase of the Cattle restocking program by the government continued during the first half of this year redistributing over 200 cattle on the islands of Epi and Erromango. This should bolster beef production over the medium term, the pre-requisite of which is being currently implemented by populating participating islands with animal stock. Poultry production too, and especially egg sales by the major player of Chiko Farm and smallholder farmers, has noticeably increased following recent government policy through the imposition of tariffs on imported eggs in favor of local production. Over the medium term, growth in this subsector is expected to grow on average by 3.2 per cent.

After a downward revision, sawn timber production is now projected to grow just above the 2018 production level, with growth of 0.7 per cent in 2021 and 0.9 per cent in 2022. There are ongoing logging activities throughout the country to support rebuilding activities, especially in the northern islands post-TC Harold; unfortunately, the rate of tree replanting has been underwhelming and production for domestic consumption has been difficult to measure. The 2020 Quarter 4 QSI shows that sawn timber exports, on the other hand, had gone down by 92.0 per cent from 2019 to 2020. This sector is projected to remain weak this year and over the medium term with an average annual growth of 2.3 per cent.

Fisheries have a projected growth of 4.2 per cent in 2021 and 4.6 per cent in 2022. In the second year of the pandemic, there has been a notable increase in fishing activities. Positive and healthy production is supported by fish export through SINO-VAN Fisheries Ltd, which in appreciation of the positive performance of domestic sales, has also projected an increase in the volume of fish to be exported this year. Over recent years, the government invested heavily in the sector by introducing fish markets in each province equipped with better fish storage facilities for local communities and households. Such program has encouraged more fishing activities and has also to date provided better access to fresh fish for domestic consumption.

As international borders remain closed, those previously engaged in the tourism sector have either been shifting their focus to agricultural and fishing activities or have chosen to be engaged in seasonal employment overseas. The Department of Labour has warned of the possible negative implications of the labour drain. Nevertheless, the fruits and vegetable subsector, in particular, is set to recover well from the damage caused by TC Harold while exporting commodities pick up gradually. Overall, given the circumstances, the Agriculture, Fishing, and Forestry sector is projected to perform well in 2021 and over the medium term.

Industry Sector

In countering the expected fallout in activities in the services sector, the government has shifted attention towards the construction subsector by bolstering expenses towards reconstruction and recovery. A principal priority in this regard, while trying to restore employment in this sector, is ensuring adequate road access to and from food baskets in especially the most remote areas. To this extent, the Government has invested over VT 700 million in heavy machinery and equipment to

improve road access that connects remote villages and food baskets to main trading ports throughout all six provinces.

Electricity and water supply are expected to remain subdued in 2021 to 2022 with slower growth forecasted at 3.5 per cent and 5.0 per cent respectively. This is consistent with the absence of tourists as a consequence of borders remaining closed, and hotels and resorts – as the heaviest users – scaling down substantially in operations. Recent surveys have uncovered an increase in the usage of solar power in rural areas with increasing demand for related products. The commencement of the Brenwei (Malekula) and Nasawa (Maewo) hydro-power projects, which should ultimately provide low-cost electricity to users, should further increase household demand for power over the long term. While this development will undoubtedly improve the well-being of rural dwellers, it should also spur the birth of more small business activities.

Despite borders being closed and there being no international tourists over the last two years, Vanuatu's industries and manufacturers continue to remain in business, albeit at a lower capacity. The manufacturing subsector is expected to maintain steady growth, with considerable financial assistance provided by the government's Industry Development Fund targeting small and medium enterprises, over the medium term. Growth rates of 1.6 per cent and 3.2 per cent are expected in 2021 and 2022 respectively.

The Industrial sector is expected to rebound strongly over the second half of the year with the anticipated implementation of major public sector projects. The construction subsector has been the major driver of growth in recent years and is expected to continue to boost growth over the medium term. On account of borders still being closed and professional, scientific and technical experts still finding difficulty to come over to work, the revised forecast holds a cautiously optimistic outlook for the construction subsector, especially over the medium term, driven by public sector projects. Following the slower-than-anticipated implementation of public infrastructure projects, growth in the construction subsector in 2021 has been revised downward from 30.9 per cent projected in quarter 1 to 9.6 per cent, followed by an acceleration to 20.0 per cent in 2022. Despite the aforementioned delays, noteworthy projects in the pipeline include phases 2 and 3 of the Tanna and Malekula roads and the Ambae and Pentecost roads to also be implemented in phases. While private sector investment projects are expected to remain slow this year, the Vanuatu-Australia security partnership in upgrading the Cooks and Tiroas Barack commenced in late-2020 with an overall value of over VT 4.5 billion and an expected completion date of 2022.

In all, the industry sector, more specifically the construction subsector, continues to stand out as the dominant driver of GDP growth. The industry sector has been the fastest-growing sector over the last five years to date. Unless there are substantial policy changes, this trend is expected to continue over the medium term.

Services Sector

In 2021, the growth of the Services sector is expected to be slow. The slow 0.9 per cent growth is nevertheless a testament to the positive efforts of the economic agents operating therein. After the sector contracted by an estimated 5.6 per cent in 2020 from COVID-19, certain difficult but necessary changes had to be initiated for adaptation to the new norm in the aftermath of both the pandemic and TC Harold. International tourists have been absent since March 2020 after borders were closed and government-imposed restrictions worldwide on trading ports have disrupted trade.

Recent partial indicators show that general conditions in the services sector continue to remain weak, resulting in downward revisions to mainly tourism-related subsectors. The biggest downward revisions were made to the forecast for Accommodation and Food Services and Transport subsectors. The Accommodation and Food Services subsector was projected to grow by 2.5 per cent based on the assumption that by year-end, international borders would have opened under some restriction to allow only a controlled number of tourists back in. The implementation of effective vaccines that boosted the people's confidence in their immunity to the disease was also considered a positive factor to this extent. Since this has not been the case, and the State of Emergency has been extended to December 2021 meaning international borders will remain closed until then, the projection was revised downward from an impressive 6.4 per cent growth to a contraction of 3.9 per cent. The Transport subsector, on the other hand, in line with the aforementioned assumptions, was revised downward from a growth of 5.7 per cent to a contraction of 1.0 per cent.

Closely trailing the above revisions, Wholesale and Retail Trade and repair of Motor Vehicles, Retail Trade, and Other Wholesale Trade were also all revised downward for 2021. Given the pandemic's impact on employment for those, directly and indirectly, involved in tourism, retailers have reported a decline in their inventory turnover. In the rural areas, the volatility of commodity prices has to a certain extent discouraged engagement by (potential) farmers, that income streams have been compromised leading to less being demanded from wholesalers in the main towns of Port Vila and Luganville.

Real Growth in the subsectors of Professional, Scientific, Technical and Administrative Services along with Finance and Insurance have all also been revised downward. For 2021, from 1.4 per cent estimated previously, this was revised downward to 0.9 per cent. Much of the projects which foreign technical experts had been expected to lead had either not started or could not proceed further due to the travel restrictions that had arisen as a result of the global pandemic. An optimistic outlook of recovery in this subsector is otherwise expected. On the other hand, the Information and Communication subsector is the only one whose growth forecast has been increased from 2.0 per cent to 2.3 per cent. This is consistent with the precautionary measures that employers and schools have been taking to cater for the possibility of nationwide lockdowns which would restrict human interaction. These efforts have been ongoing since the beginning of the pandemic.

Over the medium term⁵, growth in the services sector will average a moderate 2.4 per cent. The highest contributing subsectors to this sector's growth will be the subsectors of Retail Trade (21.0 per cent), Public Administration (20.8 per cent), and Information and Communication (19.5 per cent). The lowest contributors to the growth of the services sector will be from Wholesale and Retail Trade and repair of Motor vehicles (1.9 per cent), Accommodation and Food Services (2.7 per cent), and Education, Health, Recreation, and other Services (3.6 per cent).

MONETARY UPDATE

The Monetary authority agreed to leave the policy rate at 2.25 per cent as the Bank's current policy posture remains appropriate in achieving its policy objectives of (i) price stability and (ii) keeping sufficient reserves equivalent to a threshold of 4 months of projected import cover. At the end of June 2021, official reserves were sufficient to cover 13 months of import. Inflation, however, exceeded the Bank's target range to 5.6 per cent in the second quarter of 2020, mainly reflecting the combined effects of supply shocks in the aftermath of TC Harold, which triggered upward prices of local fruits and

⁵ Averages calculated for the medium term are for years 2022 to 2026

vegetables. Inflation is expected to return to within RBV's target range by the end of 2021. Consequently, domestic macroeconomic fundamentals have remained sound and the Reserve Bank will continue to achieve its monetary policy objectives in the medium term.

Other policy interest rates such as the Statutory Reserve Deposits Ratio and the Liquid Asset Ratio were maintained at 5.25 per cent and 5.0 per cent, respectively. The Capital Adequacy Ratio (CAR) remained at 10.0 per cent. The Bank's Import Substitution and Export Finance Facility (ISEFF) and the Disaster Reconstruction Credit Facility (DRCF) too have remained active. Overall, monetary conditions have been supportive of growth as evidenced by the high liquidity holdings and sound capital positions of commercial banks.

Money Supply (M2) picked up during the first five months of 2021, relative to a negative growth recorded during the same period of 2020. Money growth during the current period reflects the continuous accumulation of net foreign assets and a deterioration in the Government's net credit position vis-à-vis the banking system over the year to May 2021. The upward trend in net foreign assets reflects net inflows of foreign reserves into the domestic banking system. Private sector credit, in contrast, has remained weak. Going forward, net foreign assets will continue to drive money growth. Private sector credit, however, is expected to remain subdued due to weak domestic demand, uncertainties arising from the effects of the COVID-19 pandemic, and the extension of the loan moratorium by commercial banks to September 2021.

Inflation

The annual headline inflation rate is projected to ease by mid-2021 after recording historically high levels for three consecutive quarters since the June quarter of 2020. The year-on-year headline inflation rate rose to 5.6 per cent in the second quarter of 2020, driven by the rise in the domestic price of root crops, fruits, and vegetables. Despite ongoing national programs to address the supply of domestic root crops and vegetables post-TC Harold and during the COVID-19 period, food inflation recorded double-digit year-on-year growth rates for three consecutive quarters to the first quarter of 2021 after recording 12.1 per cent in the second quarter of 2020. Additional domestic demand driven by the 2020 economic stimulus package rollout, TC-Harold relief measures, and the VNPF hardship payouts may have stimulated some inflationary pressure, however, this is partially offset by the lower-than-anticipated demand effect of the gradual implementation of reconstruction project activities, and the weak domestic spending driven by low business revenue and household income. Despite the high headline inflation, the year-on-year underlying inflation rate is projected to remain subdued until mid-year 2021 after recording -0.4 per cent in the second quarter of 2020.

In terms of imported inflationary pressures, the rise in international fuel prices drove up domestic fuel prices in February and May 2021 putting upward pressure on domestic electricity and transport prices. International fuel prices rose 82.0 per cent from US\$39 per barrel in June 2020 to US\$72 per barrel in July 2021. Aside from health, drinks, and tobacco, prices of other CPI categories (non-food), mainly household supplies, communication, education, and clothing and footwear remained relatively stable. On the downside, changes to Government's policies on fees and charges, particularly through waived fees, may put downward pressures on price movements. Vanuatu's fixed exchange rate regime will continue to anchor inflation and cushion the impact of the rise in imported costs in the medium term. On the upside, occasional supply chain disruptions and high food prices may put upper pressure on inflation. The year-ended headline inflation rate is projected to return to the upper range of the RBV's 0-4 per cent target bound at 3-4 per cent by year-end 2021 and ease to the 2-3 per cent range by 2022.

Balance of payments

Vanuatu's current account balance has shown improvement over the first half of 2021. This has been welcoming after the large deficits recorded in 2020 due to a massive reduction in tourism earnings induced by international border restrictions. Significant improvements were recorded in the Primary income account through the compensation of labour mobility employees and the Government's Citizenship programs. These inflows adequately offset the negative impact of COVID-19 on Trade, Tourism, and FDI's sectors. Hence, the official reserves stood at around VT65 billion and are sufficient to finance 13 months of import of goods cover.

Vanuatu's BOP outlook remains favourable, however, risks of new waves of contagion may continue to negatively affect other major accounts. Vanuatu's current account is expected to run on surplus given the high expectation of surplus in the labour mobility income from Australia and New Zealand. Foreign reserves are still expected to remain above the threshold in the short and medium term.

EXTERNAL SECTOR UPDATE

Vanuatu has managed to retain its positive external position over the first five months of the year despite a weak domestic economy and a deteriorating global environment. The slowdown in economies overseas and lower global commodity prices (particularly fuel prices) have softened the pressures on overall import payments and have strained export earnings significantly. This has caused a provisional overall trade balance deterioration mainly due to a slump in overall export earnings from abroad. On the other hand, the secondary income and capital accounts continue to record surplus balances due to the high amount of financial assistance from donor partner countries. These have been in favour of helping with TC Harold recovery, reconstruction, and the mitigation of the negative effects of COVID-19 on the economy. Standard development projects and other Government revenue from abroad, most of which is the revenue collected from Vanuatu's honorary citizenship programs, have also contributed towards the aforementioned surplus balances. In light of these developments, official reserves remain well above the minimum threshold of 4 months of import cover over the first half of the year. Official reserves are expected to remain sustainable over the short to medium term given the continuous expected influx of financial assistance from abroad along with softer import payments related to COVID-19 border restrictions.

Exchange Rate

Movements of the Vatu vis-à-vis its major currencies reflect developments in the economic and financial conditions of Vanuatu's major trading partners. Over the year to June 2021, the Vatu appreciated against the AUD and NZD by 0.51 per cent and 2.7 per cent respectively while it depreciated against the USD and Euro by 1.61 per cent and 0.29 per cent respectively.

The RBV continues to pursue a stable nominal effective exchange rate in support of the current level of healthy foreign reserves in the banking system.

FISCAL UPDATE⁶

Revenue

Government revenue collections excluding development financing totalled VT 14,996.1 million as of the end of June this year, representing 43.7 per cent of the budget target of VT 34,313.0 million and 7.6 per cent less than the VT 16,226.3 million collected during the first six months of last year. The decline relative to last year's collections has been mainly because the COVID-19 pandemic only started affecting revenue from March onwards last year, whereas it has affected collections every month so far this year.

Total Government revenue (tax plus non-tax) has fluctuated greatly from month to month; revenue in February was particularly low as the VAT due date, which is the 27th of every month, fell on a Saturday in February, meaning that a large portion of VAT revenue due in February was processed on Monday the 1st of March, resultantly being recorded as revenue coming in March. Revenue from VAT has nonetheless remained low throughout these two quarters, but revenue from excise duty has been strong so far this year, collecting almost double the forecast amount in January and March. Taxes on international trade and transactions have also produced robust collections so far. While revenue from the Honorary Citizenship Programs was well above forecast for most months last year, the pandemic, and more importantly the USD correspondent banking issues with the National Australia Bank, have begun to affect collections from these programs in the first six months of 2021. On average, collections were just 13.2 per cent higher than forecast in each of the first six months this year⁷. The Government remains careful not to rely on the income stream from the honorary citizenship programs and is working on implementing the Tax Administration Act to make the collection of tax revenue more efficient.

Focusing on revenue from taxation, VAT continues to be the major source of taxation revenue, collecting VT 3,377.0 million by the end of June. This represents 34.7 per cent of the annual budget target of VT 9,731.0 million and is 6.8 per cent less than the VT 3,625.2 million collected during the equivalent period last year, due to the prolonged impact of the COVID-19 pandemic on the economy.

Taxes on international trade and transactions, constituting import and export duties, are the second main source of taxation revenue, collecting VT 1,726.0 million during the first six months of this year. This is equivalent to 46.8 per cent of the budget target of VT 3,690.7 million and is 16.0 per cent more than the VT 1,488.4 million that was collected during the first six months of last year. Excise tax collections have totalled VT 1,504.8 million to date this year, which represents 61.8 per cent of the budget target (VT 2,435.0 million) and is 16.7 per cent more than the VT 1,289.0 million collected by June last year.

In terms of budget support, the Vanuatu Government received a transfer of VT 814.4 million from New Zealand, which will go towards the Second Policy Stimulus. Meanwhile, there is high anticipation that similar budget support will be received from the Australian people towards the Government's announced second policy stimulus, in particular, the wage subsidy scheme. Once the Budget support is received, this will mean a significant boost that would bring actuals to 72.0 per cent of the target for

⁶ The figures described and explained in this section can be seen in Tables 5 to 10 at the end of this report, which show the Statements of Government Operations using GFS14 classification.

⁷ The Government budgets and forecasts revenue from the Honorary Citizenship Programs low, so as not to depend on it. Thus the actual revenue collections in previous years have been well above forecast. The pandemic has begun to affect revenue from these programs, so while the actual collections are still above forecast on average, they are above forecast to a lower extent than in previous years.

budget support revenue. Further budget support is expected from the 11th EDF in the second half of the year.

Among other revenue constituting fees and charges, the Citizenship Office has collected VT 5,652.5 million through the VDSP and VCP by the end of June. This is 48.9 per cent of the budget target of VT 11,549.4 million and is 20.8 per cent less than the VT 7,135.8 million revenue from VDSP and VCP collected during the same period last year, due to the prolonged impact of the COVID-19 pandemic.

Moving to development financing, the Government received VT 3,978.7 million worth of project grants from its development partners by the end of June. The major sources of grant assistance are Australia (VT 1,781.6 million), the World Bank (VT 688.2 million), New Zealand (VT 643.7 million), and China (VT 214.3 million). Other contributing donors are gratefully acknowledged.

Expenditure

Government expenses in the first six months of 2021 totalled VT 13,945.5 million, which is equivalent to 41.9 per cent of the budget target of VT 33,304.7 million⁸ and is 4.7 per cent less than the VT 14,633.2 million expended over the same period in 2020.

To date, Government expenses are 13.7 per cent below VT 16,172.6 million budget target for the first six months of this year. However, some major expenditure items have risen above their annual budget as of the end of June. These expenditure items include:

- *On-call Allowance (VT 19.7 million against zero annual budget)*
- *Special Allowances (VT 78.4 million against an annual budget of VT 22.1 million)*
- *Leave Expenses (VT 191.3 million against zero annual budget)*
- *Penalty Fees (VT 12.6 million against zero annual budget)*
- *Local Medical Treatment (VT 32.5 million against an annual budget of VT 8.9 million)*
- *Airport Cleaning (VT 16.0 million against zero annual budget)*
- *CBC Road Repairs and Maintenance (VT 55.4 million against an annual budget of VT 28.2 million)*
- *Scholarship Fees (VT 228.0 million against an annual budget of VT 185.9 million)*
- *School Fees Subsidies (VT 171.5 million against an annual budget of VT 141.4 million)*

Net acquisitions of non-financial assets totalled VT 444.3 million up to June, which is 31.4 per cent of the annual budget of VT 1,415.8 million. The net amount spent in the first six months is 1.0 per cent less than the net amount of VT 448.9 million spent on acquisitions of non-financial assets in the same period of 2020. The major acquisitions of non-financial assets so far this year include computers, additional general equipment, roads, and bridges.

As of the end of June, expenditure financed by project grants from donors totalled VT 1,976.2 million. This represents 37.0 per cent of the budget target of VT 5,338.9 million and is 45.9 per cent more than the VT 1,354.1 million recorded during the first six months of last year, as Government continues to implement donor-funded projects including TC Harold recovery projects, COVID-19 preparedness projects, and others.

⁸ The total Budget of VT 33,304.7 million also includes the rollover of unspent funds of VT 1,033.8 million for the Economic Stimulus Package which will be funded by cash reserves remaining from the funding for the Package last year. So the total budget to be drawdown from cash reserves this year is VT 2,034.2 million.

Financing

At the end of June, the net operating balance (i.e. revenue minus expense) of the Government operations (excluding donor funding) was VT 1,050.6 million, equivalent to 0.9 per cent of the GDP forecast for 2021. This is 34.0 per cent less than the VT 1,593.1 million recorded at the end of June 2020.

Excluding donor funding, the Government recorded a fiscal surplus (i.e. revenue minus expense and net acquisitions of non-financial assets) of VT 606.3 million at the end of June. This is 47.0 per cent less than the fiscal surplus of VT 1,144.2 million recorded at the end of June last year.

The Government recorded operating deficits (i.e. expenses exceed revenue) and fiscal deficits (i.e. expenses plus net acquisitions of non-financial assets were more than revenue) in February, April, and May, but the surpluses in other months meant that the Government is running an operating surplus and fiscal surplus overall so far this year. To ensure a healthy buffer, the Government drew down some of its reserves this year, in line with 2021 Budget Appropriation to fund expenditure programs and activities. This is a good use of the Government's cash reserves from previous years as a result of strong revenue collections and expenditure management.

So far this year, the Government has amortized VT 2,467.0 million worth of external loans and VT 908.6 million worth of domestic bonds. This includes an advanced repayment (prepayment) of VT 2,000.0 million for external debt repayments made to the EXIM Bank of China, in addition to the scheduled debt service payments.

REVENUE AND TAX POLICY

Despite the challenges faced by the country, the Government must continue to ensure sufficient revenue is raised to fund its public expenditure plans, respond to public demands and be able to assist when unforeseen circumstances arise. How the government succeeds with this depends entirely on its robust tax policy and administration. Thus, building an effective tax system that can adapt to the changing economic times, including future natural disasters, is a core responsibility of the Government. When designed and administered properly, the tax system should effectively raise the revenue necessary to provide essential public goods and services.

In regards to Revenue and Tax Policy, the Government has directed efforts towards improving the Department of Customs and Inland Revenue (DCIR) as the Tax Administrator. Additionally, the Government, in 2020, set up a Revenue Governance Committee with the mandate of working together with all sectors deemed to be Government revenue-generating agencies in developing recommended policy initiatives that the Government can implement to raise its revenue. Policy options in the areas of tax and non-tax revenue are in the process of being implemented.

The VDSP has been a major revenue-contributing item to the national budget. The future of the program, given the issues surrounding Correspondent Banking, has been anticipated to have severe implications on national revenue for the remaining months of 2021 and the 2022 financial year. A slowdown in the receipts from this program has already been recorded so far this year. While there are other policy options currently in place to cover for any shortfall, the amount of revenue earned will certainly be insufficient to offset the fiscal gap that would occur if the program were to come to a complete stop. A new revenue policy on Real Estate Option (REO) was approved by Parliament earlier in 2021 for implementation, but its Revenue potential is yet to be proven.

The Government recorded a slight reduction in VAT revenue, as its major tax, for the first 6 months of this year compared to 2020. The reduction in VAT collection is directly linked to the closure of most tourism-related businesses as a result of COVID-19. The likelihood that DCIR will be unable to meet its VAT Revenue Target for the 2021 financial year remains high.

Vanuatu's Commitments with the OECD Global Forum and the EU Code of Conduct Group

The challenge of implementing a good tax system continues to be further complicated by globalisation, and the prevalent interdependence in the global economy means that individual countries can no longer design their tax systems in isolation. The Government is thus working hard to ensure Vanuatu meets the international standards on good tax practice. This includes standards set by the OECD's Global Forum on Transparency and Exchange of Information for Tax purposes (Global Forum) and the European Union's Code of Conduct Group (EU CoCG). Vanuatu will face serious reputational damage and therefore serious economic damage if it does not comply with these standards.

Up to 2017, Vanuatu had made good progress to get a Largely Compliant rating with the OECD Global Forum by having the necessary legislation in place. However, it had failed to effectively implement the legislation and was downrated to a Partially Compliant rating in 2019. Vanuatu has tried to address its weaknesses and is currently undergoing a supplementary review to improve its rating.

In 2019, the EU CoCG concluded that Vanuatu had not taken sufficient steps to fulfill its commitments. Vanuatu is currently on the EU blacklist for harmful tax practices but is working hard to be removed from this list. To tackle this issue, the Government is working on reforms that include the review of the Business License Act. Consultations have concluded but the legislation must be ratified by Parliament this year and be effectively implemented to remove Vanuatu from the blacklist.

Outstanding Revenue

Failure to collect money owed to the Government continues to erode the revenue base. Over several years, debt owing to the Government accumulated to high levels, resulting in the need to undertake significant write-off. The process of writing off uncollectable debt is intended to direct Departments' focus towards the collection of revenue as and when they fall due. Debt that is written off is revenue foregone that could have been spent on essential public services. The Government will focus on collecting taxes, fees, and charges in a timely manner to avoid further accumulation of uncollectible debt in the future.

The Government will continue to boost its revenue collection by strengthening the administration, compliance, and enforcement of its existing tax base through the implementation of modernised laws as well as newly introduced fees and charges. The Government will continue to closely monitor the effectiveness of revenue collections to ensure the system becomes more effective and efficient over time.

PUBLIC DEBT

With a current population of around three hundred thousand, Vanuatu has continued to maintain its stance of prudent fiscal management amidst the ongoing global rippling effects of COVID-19. Having the resilient infrastructure to withstand natural disasters has always been a priority for the Vanuatu Government given its geographic location, remoteness, and vulnerability to shocks. Following the aftermath of TC Harold last year, along with the prolonged closure of international borders, delays to important infrastructure programs have resulted.

Successful adherence to the Debt Management Strategy (its 2nd edition, from 2019 – 2022) is continuously being maintained. The latest result is a reduction of the current external debt stock of 33.6 per cent⁹ of nominal GDP which is lower than the 37.0 per cent as at the end of 2020. This has been a result of a combination of factors including the ongoing scheduled repayments, planned prepayments, and the delay of projects' implementation despite the decline of the nominal GDP growth. The Debt Sustainability Analysis indicates that Vanuatu remains at moderate risk of external debt distress. The stress tests do however highlight the ongoing rise in contingent liabilities. The granularity risk rating also indicates that there is limited space to absorb shocks, which underscores the importance of fiscal space and buffers in preparation for future disasters.

Like many countries, the pandemic has brought in many challenges to revenue collections. Vanuatu will continue to increase its revenue collection campaigns including finding alternative sources to the significant shortfall in the honorary citizenship programs, for instance. The debt service-to-revenue ratio is around 7 per cent, compared to the threshold of 18 per cent. This indicator shows that of the aggregate revenue received, 7 per cent is used for loan servicing obligations.

Since 2018, the Government has continued to reduce its non-concessional loans (more expensive). The Government also fully amortised and retired all maturing domestic bonds in the first half of 2021; totalling an amount of around VT 908 million which has reduced the total domestic debt level by 11.3 per cent. Again, as explained above, external debt has reduced from 37 per cent of nominal GDP to 33.6 per cent (VT2.4 billion reduction). However, a planned bond auction would be initiated to restructure (make cheaper) the redeemed 2021 bond total. Despite straining resources to address both COVID-19 and the negative impacts of TC Harold, the Government continues to faithfully meet all its obligatory debt service repayments.

Over the long term, the Government must remain prudent in cautiously managing major infrastructure projects to prevent rapid debt accumulation. It should also maintain adequate fiscal buffers and foster economic growth to ensure debt service payments can be made in full and on time. Further diversification of sustainable revenue sources is also necessary to support future prudent debt management.

⁹ Does not include external borrowings of RBV

Table 5: Statement of government operations excluding donors using GFS14 classification, January to June 2021

STATEMENT OF GOVERNMENT OPERATIONS EXCLUDING DONORS										
GFS Code	GFS Description	Budget 2021	Total (VT mn)	%	January Actual	February Actual	March Actual	April Actual	May Actual	June Actual
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	34,313.0	14,996.1	43.7%	2,743.5	1,779.3	2,710.2	2,521.7	2,016.3	3,225.1
A11	Taxes	18,725.3	7,676.1	41.0%	1,736.9	851.7	1,684.3	1,166.1	1,138.3	1,098.8
A111	Taxes on income, profits, and capital gains	-	-	0.0%	-	-	-	-	-	-
A112	Taxes on payroll & workforce	-	-	0.0%	-	-	-	-	-	-
A113	Taxes on property	480.3	202.2	42.1%	26.3	29.7	22.0	39.9	44.3	40.0
A114	Taxes on goods & services	14,554.3	5,747.9	39.5%	1,395.9	622.7	1,286.5	884.0	747.2	811.4
A115	Taxes on international trade & transactions	3,690.7	1,726.0	46.8%	314.7	199.2	375.7	242.2	346.8	247.4
A116	Other taxes	-	-	0.0%	-	-	-	-	-	-
A12	Social contributions	-	-	0.0%	-	-	-	-	-	-
A13	Grants	1,131.4	814.4	72.0%	-	-	-	-	-	814.4
A14	Other revenue	14,456.3	6,505.5	45.0%	1,006.6	927.6	1,025.9	1,355.6	878.0	1,311.8
A2	Expense	33,304.7	13,945.5	41.9%	1,856.0	1,932.9	2,539.3	2,910.0	2,057.7	2,649.7
A21	Compensation of employees	16,760.8	7,641.9	45.6%	1,080.4	1,246.0	1,148.8	1,664.3	1,209.1	1,293.2
A22	Use of goods and services	9,179.3	2,946.8	32.1%	178.4	471.2	438.8	517.4	422.4	918.6
A23	Consumption of fixed capital	-	-	0.0%	-	-	-	-	-	-
A24	Interest	553.3	336.4	60.8%	23.9	-	149.9	90.5	13.8	58.4
A25	Subsidies	905.9	65.9	7.3%	(5.1)	25.8	22.2	1.1	28.4	(6.5)
A26	Grants	3,824.4	1,717.5	44.9%	296.6	36.6	486.6	524.3	138.8	234.6
A27	Social benefits	545.0	158.3	29.0%	14.9	56.8	23.4	27.8	0.6	34.7
A28	Other expense	1,536.0	1,078.8	70.2%	266.8	96.4	269.6	84.5	244.7	116.7
GOB	Gross operating balance (1-2+23+NOBz)	1,008.3	1,050.6		887.5	(153.6)	170.9	(388.2)	(41.4)	575.4
NOB	Net operating balance (1-2+NOBz)	1,008.3	1,050.6		887.5	(153.6)	170.9	(388.2)	(41.4)	575.4
	% of GDP	0.9%	0.9%		0.8%	-0.1%	0.2%	-0.3%	0.0%	0.5%
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net Acquisition of Nonfinancial Assets	1,415.8	444.3	31.4%	61.0	52.9	90.7	60.6	81.9	97.2
A311	Fixed assets	1,415.8	444.3	31.4%	61.0	52.9	90.7	60.6	81.9	97.2
A312	Change in inventories	-	-	0.0%	-	-	-	-	-	-
A313	Valuables	-	-	0.0%	-	-	-	-	-	-
A314	Nonproduced assets	-	-	0.0%	-	-	-	-	-	-
NLB	Net lending / borrowing (1-2+NOBz-31)	(407.5)	606.3		826.5	(206.5)	80.2	(448.8)	(123.3)	478.3
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
		-0.4%	0.5%		0.7%	-0.2%	0.1%	-0.4%	-0.1%	0.4%
A32	Net acquisition of financial assets	(2,034.2)	(2,769.3)	0.0%	819.1	(230.6)	(2,289.2)	(1,371.2)	(173.1)	475.6
A321	Domestic	(2,034.2)	(2,769.3)	0.0%	819.1	(230.6)	(2,289.2)	(1,371.2)	(173.1)	475.6
A322	Foreign	-	-	0.0%	-	-	-	-	-	-
A33	Net incurrence of liabilities	(1,626.7)	(3,375.6)	207.5%	(7.4)	(24.0)	(2,369.4)	(922.3)	(49.9)	(2.7)
A331	Domestic creditors	1,652.8	(908.6)	-55.0%	-	-	-	(908.6)	-	-
A332	External creditors	(3,279.5)	(2,467.0)	75.2%	(7.4)	(24.0)	(2,369.4)	(13.7)	(49.9)	(2.7)

Source: Department of Finance and Treasury

Table 6: Statement of government operations funded by donors through the central treasury account, using GFS14 classification, Jan-June 2021

STATEMENT OF GOVERNMENT OPERATIONS FUNDED BY DONORS THROUGH THE CENTRAL TREASURY ACCOUNT										
GFS Code	GFS Description	Budget 2021	Total (VT mn)	%	January Actual	February Actual	March Actual	April Actual	May Actual	June Actual
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	5,338.9	3,978.7	74.5%	51.9	356.2	587.9	253.3	1,225.7	1,503.8
A11	Taxes	-	-	0.0%	-	-	-	-	-	-
A111	Taxes on income, profits, and capital gains	-	-	0.0%	-	-	-	-	-	-
A112	Taxes on payroll & workforce	-	-	0.0%	-	-	-	-	-	-
A113	Taxes on property	-	-	0.0%	-	-	-	-	-	-
A114	Taxes on goods & services	-	-	0.0%	-	-	-	-	-	-
A115	Taxes on international trade & transactions	-	-	0.0%	-	-	-	-	-	-
A116	Other taxes	-	-	0.0%	-	-	-	-	-	-
A12	Social contributions	-	-	0.0%	-	-	-	-	-	-
A13	Grants	5,338.9	3,978.7	74.5%	51.9	356.2	587.9	253.3	1,225.7	1,503.8
A14	Other revenue	-	-	0.0%	-	-	-	-	-	-
A2	Expense	5,338.9	1,976.2	37.0%	503.6	194.7	372.7	155.9	399.5	349.8
A21	Compensation of employees	343.0	108.1	31.5%	6.8	21.1	22.1	25.4	11.8	20.8
A22	Use of goods and services	3,787.8	1,468.4	38.8%	122.8	171.9	348.4	128.7	382.1	314.4
A23	Consumption of fixed capital	-	-	0.0%	-	-	-	-	-	-
A24	Interest	7.1	-	0.0%	-	-	-	-	-	-
A25	Subsidies	-	8.0	0.0%	(0.8)	1.6	1.5	0.6	2.3	2.8
A26	Grants	782.9	392.4	50.1%	378.0	-	0.3	-	3.2	10.9
A27	Social benefits	418.0	1.4	0.3%	0.6	0.0	-	0.7	-	-
A28	Other expense	0.3	(2.1)	-857.4%	(4.0)	-	0.3	0.4	0.2	0.9
GOB	Gross operating balance (1-2+23+NOBz)	(0.0)	2,002.6		(451.7)	161.5	215.2	97.4	826.2	1,154.0
NOB	Net operating balance (1-2+NOBz)	-	2,002.6		(451.7)	161.5	215.2	97.4	826.2	1,154.0
	% of GDP	0.0%	1.8%		-0.4%	0.1%	0.2%	0.1%	0.7%	1.0%
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net Acquisition of Nonfinancial Assets	4,911.0	1,028.5	20.9%	(131.6)	123.9	577.6	169.2	104.5	184.8
A311	Fixed assets	4,911.0	1,028.5	20.9%	(131.6)	123.9	577.6	169.2	104.5	184.8
A312	Change in inventories	-	-	0.0%	-	-	-	-	-	-
A313	Valuables	-	-	0.0%	-	-	-	-	-	-
A314	Nonproduced assets	-	-	0.0%	-	-	-	-	-	-
NLB	Net lending / borrowing (1-2+NOBz-31)	(4,911.0)	974.1		(320.1)	37.6	(362.4)	(71.8)	721.7	969.2
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
		-4.3%	0.9%		-0.3%	0.0%	-0.3%	-0.1%	0.6%	0.9%
A32	Net acquisition of financial assets	-	974.1	0.0%	(320.1)	37.6	(362.4)	(71.8)	721.7	969.2
A321	Domestic	-	974.1	0.0%	(320.1)	37.6	(362.4)	(71.8)	721.7	969.2
A322	Foreign	-	-	0.0%	-	-	-	-	-	-
A33	Net incurrence of liabilities	4,911.0	-	0.0%	-	-	-	-	-	-
A331	Domestic creditors	-	-	0.0%	-	-	-	-	-	-
A332	External creditors	4,911.0	-	0.0%	-	-	-	-	-	-

Source: Department of Finance and Treasury

Table 7: Statement of government operation including donor financing (consolidated) using GFS14 Classification, January to June 2021

STATEMENT OF TOTAL GOVERNMENT OPERATIONS										
GFS Code	GFS Description	Budget 2021	Total (VT mn)	%	January Actual	February Actual	March Actual	April Actual	May Actual	June Actual
TRANSACTIONS AFFECTING NET WORTH:										
A1	Revenue	39,652.0	18,974.8	47.9%	2,795.4	2,135.5	3,298.0	2,775.1	3,242.0	4,728.9
A11	Taxes	18,725.3	7,676.1	41.0%	1,736.9	851.7	1,684.3	1,166.1	1,138.3	1,098.8
A111	Taxes on income, profits, and capital gains	-	-	0.0%	-	-	-	-	-	-
A112	Taxes on payroll & workforce	-	-	0.0%	-	-	-	-	-	-
A113	Taxes on property	480.3	202.2	42.1%	26.3	29.7	22.0	39.9	44.3	40.0
A114	Taxes on goods & services	14,554.3	5,747.9	39.5%	1,395.9	622.7	1,286.5	884.0	747.2	811.4
A115	Taxes on international trade & transactions	3,690.7	1,726.0	46.8%	314.7	199.2	375.7	242.2	346.8	247.4
A116	Other taxes	-	-	0.0%	-	-	-	-	-	-
A12	Social contributions	-	-	0.0%	-	-	-	-	-	-
A13	Grants	6,470.3	4,793.2	74.1%	51.9	356.2	587.9	253.3	1,225.7	2,318.2
A14	Other revenue	14,456.3	6,505.5	45.0%	1,006.6	927.6	1,025.9	1,355.6	878.0	1,311.8
A2	Expense	38,643.6	15,921.6	41.2%	2,359.5	2,127.6	2,911.9	3,065.9	2,457.2	2,999.5
A21	Compensation of employees	17,103.8	7,750.0	45.3%	1,087.2	1,267.2	1,170.9	1,689.7	1,220.9	1,314.1
A22	Use of goods and services	12,967.1	4,415.1	34.0%	301.2	643.1	787.3	646.1	804.5	1,233.0
A23	Consumption of fixed capital	-	-	0.0%	-	-	-	-	-	-
A24	Interest	560.4	336.4	60.0%	23.9	-	149.9	90.5	13.8	58.4
A25	Subsidies	1,047.3	245.4	23.4%	(5.9)	89.3	97.4	37.7	30.7	(3.7)
A26	Grants	4,607.3	2,109.9	45.8%	674.7	36.6	486.9	524.3	141.9	245.5
A27	Social benefits	962.9	159.7	16.6%	15.6	56.8	23.4	28.6	0.6	34.7
A28	Other expense	1,394.8	905.1	64.9%	262.9	34.6	196.3	48.9	244.9	117.5
GOB	Gross operating balance (1-2+23+NOBz)	1,008.3	3,053.2		435.8	7.9	386.1	(290.8)	784.8	1,729.4
NOB	Net operating balance (1-2+NOBz)	1,008.3	3,053.2		435.8	7.9	386.1	(290.8)	784.8	1,729.4
	% of GDP	0.9%	2.7%		0.4%	0.0%	0.3%	-0.3%	0.7%	1.5%
TRANSACTIONS IN NONFINANCIAL ASSETS:										
A31	Net Acquisition of Nonfinancial Assets	6,326.8	1,472.8	23.3%	(70.5)	176.8	668.3	229.8	186.4	281.9
A311	Fixed assets	6,326.8	1,472.8	23.3%	(70.5)	176.8	668.3	229.8	186.4	281.9
A312	Change in inventories	-	-	0.0%	-	-	-	-	-	-
A313	Valuables	-	-	0.0%	-	-	-	-	-	-
A314	Nonproduced assets	-	-	0.0%	-	-	-	-	-	-
NLB	Net lending / borrowing (1-2+NOBz-31)	(5,318.5)	1,580.4		506.4	(169.0)	(282.2)	(520.7)	598.4	1,447.5
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):										
		-4.7%	1.4%		0.4%	-0.1%	-0.2%	-0.5%	0.5%	1.3%
A32	Net acquisition of financial assets	(2,034.2)	(1,795.2)	88.3%	499.0	(193.0)	(2,651.6)	(1,443.0)	548.5	1,444.8
A321	Domestic	(2,034.2)	(1,795.2)	88.3%	499.0	(193.0)	(2,651.6)	(1,443.0)	548.5	1,444.8
A322	Foreign	-	-	0.0%	-	-	-	-	-	-
A33	Net incurrence of liabilities	3,284.3	(3,375.6)	-102.8%	(7.4)	(24.0)	(2,369.4)	(922.3)	(49.9)	(2.7)
A331	Domestic creditors	1,652.8	(908.6)	-55.0%	-	-	-	(908.6)	-	-
A332	External creditors	1,631.5	(2,467.0)	-151.2%	(7.4)	(24.0)	(2,369.4)	(13.7)	(49.9)	(2.7)

Source: Department of Finance and Treasury

Table 8: Statement of Government Operations excluding Donor Financing using GFS14 Classification, 2018 – 2026

STATEMENT OF GOVERNMENT OPERATIONS												
Using GFS14 classification												
		Actual	Actual	Actual	Actual	Budget	Actual	Forecast	Forecast	Forecast	Forecast	Forecast
GFS Code	GFS Description	2018	2019	Jan - June 2020	Jan - Dec 2020	2021	Jan - June 2021	2022	2023	2024	2025	2026
TRANSACTIONS AFFECTING NET WORTH:												
A1	Revenue	30,590.6	33,254.5	16,226.3	33,932.4	34,313.0	14,996.1	34,912.8	36,006.8	36,502.3	37,588.5	40,353.6
A11	Taxes	18,540.8	18,154.0	8,151.8	14,727.7	18,725.3	7,676.1	19,167.8	19,818.1	20,401.7	20,984.0	22,464.2
A111	Taxes on income, profits, and capital gains	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A112	Taxes on payroll & workforce	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A113	Taxes on property	582.1	606.2	309.6	495.5	480.3	202.2	500.0	518.3	535.0	551.7	594.4
A114	Taxes on goods & services	13,919.3	13,863.7	6,353.7	11,092.9	14,554.3	5,747.9	14,826.3	15,317.7	15,756.3	16,193.3	17,302.7
A115	Taxes on international trade & transactions	4,039.4	3,684.0	1,488.4	3,139.3	3,690.7	1,726.0	3,841.5	3,982.2	4,110.4	4,239.1	4,567.1
A116	Other taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A12	Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A13	Grants	0.0	0.0	0.0	2,631.2	1,131.4	814.4	698.0	590.5	0.0	0.0	0.0
A14	Other revenue	12,049.8	15,100.5	8,074.5	16,573.5	14,456.3	6,505.5	15,047.0	15,598.2	16,100.6	16,604.4	17,889.4
A2	Expense	22,227.1	25,580.1	14,633.2	31,391.1	33,304.7	13,945.5	31,146.6	31,309.7	30,714.5	31,319.5	31,990.0
A21	Compensation of employees	12,544.0	14,036.4	7,072.3	15,243.7	16,760.8	7,641.9	17,001.0	17,545.5	17,879.4	18,250.4	18,629.5
A22	Use of goods and services	4,419.0	5,642.6	3,034.3	6,747.6	9,179.3	2,946.8	7,426.5	7,005.1	6,084.6	6,081.3	6,198.3
A23	Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A24	Interest	921.0	941.9	375.7	861.7	553.3	336.4	862.6	760.2	682.3	804.7	861.8
A25	Subsidies	109.4	193.7	907.2	1,494.9	905.9	65.9	151.5	156.7	160.1	163.6	167.2
A26	Grants	2,479.3	2,396.5	1,721.0	3,908.3	3,824.4	1,717.5	3,897.5	3,979.9	4,009.2	4,083.2	4,158.8
A27	Social benefits	643.6	569.8	774.0	1,036.5	545.0	158.3	538.8	557.2	569.4	581.9	594.7
A28	Other expense	1,110.8	1,799.2	748.6	2,098.3	1,536.0	1,078.8	1,268.7	1,305.2	1,329.5	1,354.3	1,379.7
GOB	Gross operating balance (1-2+23+NOBz)	8,363.5	7,674.4	1,593.1	2,541.2	1,008.3	1,050.6	3,766.2	4,697.1	5,787.7	6,269.0	8,363.6
NOB	Net operating balance (1-2+NOBz)	8,363.5	7,674.4	1,593.1	2,541.2	1,008.3	1,050.6	3,766.2	4,697.1	5,787.7	6,269.0	8,363.6
TRANSACTIONS IN NONFINANCIAL ASSETS:												
A31	Net Acquisition of Nonfinancial Assets	622.2	1,000.6	448.9	1,619.7	1,415.8	444.3	1,074.5	572.8	584.6	596.7	609.0
A311	Fixed assets	622.2	1,000.6	448.9	1,619.7	1,415.8	444.3	1,074.5	572.8	584.6	596.7	609.0
A312	Change in inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A313	Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A314	Nonproduced assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NLB	Net lending / borrowing (1-2+NOBz-31)	7,741.3	6,673.8	1,144.2	921.6	(407.5)	606.3	2,691.7	4,124.3	5,203.1	5,672.3	7,754.6
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):												
A32	Net acquisition of financial assets	4,661.8	3,541.0	(854.4)	919.7	(2,034.2)	(2,769.3)	(1,788.4)	(358.9)	1,716.2	1,144.1	1,845.4
A321	Domestic	4,661.8	3,541.0	(854.4)	919.7	(2,034.2)	(2,769.3)	(1,788.4)	(358.9)	1,716.2	1,144.1	1,845.4
A3212	Currency and deposits	4,661.8	1,541.0	(2,480.1)	(706.0)	(2,034.2)	(2,769.3)	(1,788.4)	(358.9)	1,716.2	1,144.1	1,845.4
A3214	Loans	0.0	2,000.0	1,625.6	1,625.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A322	Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A33	Net incurrence of liabilities	(3,079.5)	(3,132.9)	(1,998.6)	(1.9)	(1,626.7)	(3,375.6)	(4,480.0)	(4,483.2)	(3,486.9)	(4,528.2)	(5,909.3)
A331	Domestic creditors	(1,615.7)	(672.9)	0.0	2,447.2	1,652.8	(908.6)	(1,111.9)	(1,115.1)	0.0	0.0	(1,030.6)
A332	External creditors	(1,463.9)	(2,460.0)	(1,998.6)	(2,449.2)	(3,279.5)	(2,467.0)	(3,368.1)	(3,368.1)	(3,486.9)	(4,528.2)	(4,878.6)

Source: Department of Finance and Treasury

Table 9: Statement of government operations funded by donors through the central treasury account, in GFS14 classification, 2018-26

STATEMENT OF DONOR OPERATIONS												
Using GFS14 classification												
		Actual	Actual	Actual	Actual	Budget	Actual	Forecast	Forecast	Forecast	Forecast	Forecast
GFS Code	GFS Description	2018	2019	Jan - June 2020	Jan - Dec 2020	2021	Jan - June 2021	2022	2023	2024	2025	2026
TRANSACTIONS AFFECTING NET WORTH:												
A1	Revenue	8,476.7	11,649.9	2,924.2	5,559.6	5,338.9	3,978.7	4,538.1	4,938.5	4,738.3	4,838.4	4,788.3
A11	Taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A111	Taxes on income, profits, and capital gains	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A112	Taxes on payroll & workforce	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A113	Taxes on property	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A114	Taxes on goods & services	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A115	Taxes on international trade & transactions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A116	Other taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A12	Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A13	Grants	8,476.7	11,649.9	2,924.2	5,559.6	5,338.9	3,978.7	4,538.1	4,938.5	4,738.3	4,838.4	4,788.3
A14	Other revenue	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A2	Expense	4,135.8	4,334.9	1,354.1	3,737.2	5,338.9	1,976.2	4,538.1	4,938.5	4,738.3	4,838.4	4,788.3
A21	Compensation of employees	293.7	233.7	87.1	227.5	343.0	108.1	303.9	330.7	317.3	324.0	320.6
A22	Use of goods and services	3,275.8	3,935.8	1,217.6	3,102.1	3,787.8	1,468.4	3,418.1	3,719.7	3,568.9	3,644.3	3,606.6
A23	Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A24	Interest	0.2	0.0	0.0	0.0	7.1	0.0	5.4	5.8	5.6	5.7	5.7
A25	Subsidies	6.1	7.3	2.6	13.3	0.0	8.0	5.2	5.7	5.4	5.5	5.5
A26	Grants	141.5	117.6	40.0	111.5	782.9	392.4	393.3	428.0	410.6	419.3	414.9
A27	Social benefits	405.6	46.2	7.6	278.5	418.0	1.4	409.6	445.8	427.7	436.7	432.2
A28	Other expense	13.1	(5.6)	(0.8)	4.4	0.3	(2.1)	2.7	2.9	2.8	2.9	2.8
GOB	Gross operating balance (1-2+23+NOBz)	4,340.9	7,315.0	1,570.2	1,822.4	0.0	2,002.6	0.0	0.0	0.0	0.0	0.0
NOB	Net operating balance (1-2+NOBz)	4,340.9	7,315.0	1,570.2	1,822.4	0.0	2,002.6	0.0	0.0	0.0	0.0	0.0
TRANSACTIONS IN NONFINANCIAL ASSETS:												
A31	Net Acquisition of Nonfinancial Assets	5,778.9	10,968.0	2,128.2	5,159.5	4,911.0	1,028.5	7,049.2	4,518.3	2,801.4	535.2	451.6
A311	Fixed assets	5,778.9	10,968.0	2,128.2	5,159.5	4,911.0	1,028.5	7,049.2	4,518.3	2,801.4	535.2	451.6
A312	Change in inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A313	Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A314	Nonproduced assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NLB	Net lending / borrowing (1-2+NOBz-31)	(1,438.0)	(3,653.1)	(558.0)	(3,337.2)	(4,911.0)	974.1	(7,049.2)	(4,518.3)	(2,801.4)	(535.2)	(451.6)
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):												
A32	Net acquisition of financial assets	3,840.7	3,746.7	(120.3)	(2,030.2)	0.0	974.1	0.0	0.0	0.0	0.0	1.0
A321	Domestic	3,840.7	3,746.7	(120.3)	(2,030.2)	0.0	974.1	0.0	0.0	0.0	0.0	1.0
A3212	Currency and deposits	3,840.7	3,746.7	(120.3)	(2,030.2)	0.0	974.1	0.0	0.0	0.0	0.0	1.0
A3214	Loans	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A322	Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A323	Monetary gold and SDRs	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A33	Net incurrence of liabilities	5,278.7	7,399.8	437.7	1,306.9	4,911.0	0.0	7,049.2	4,518.3	2,801.4	535.2	452.6
A331	Domestic	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	1.0
A332	Foreign	5,278.7	7,399.8	437.7	1,306.9	4,911.0	0.0	7,049.2	4,518.3	2,801.4	535.2	451.6

Source: Department of Finance and Treasury

Table 10: Statement of total government operations including donor financing (consolidated) using GFS01 classifications, 2017 – 2025

STATEMENT OF CONSOLIDATED OPERATIONS												
Using GFS14 classification												
		Actual	Actual	Actual	Actual	Revised Budget	Actual	Forecast	Forecast	Forecast	Forecast	Forecast
GFS Code	GFS Description	2018	2019	Jan - June 2020	Jan - Dec 2020	2021	Jan - June 2021	2022	2023	2024	2025	2026
TRANSACTIONS AFFECTING NET WORTH:												
A1	Revenue	39,067.3	44,904.4	19,150.5	39,491.9	39,652.0	18,974.8	39,450.9	40,945.3	41,240.5	42,426.8	45,142.0
A11	Taxes	18,540.8	18,154.0	8,151.8	14,727.7	18,725.3	7,676.1	19,167.8	19,818.1	20,401.7	20,984.0	22,464.2
A111	Taxes on income, profits, and capital gains	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A112	Taxes on payroll & workforce	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A113	Taxes on property	582.1	606.2	309.6	495.5	480.3	202.2	500.0	518.3	535.0	551.7	594.4
A114	Taxes on goods & services	13,919.3	13,863.7	6,353.7	11,092.9	14,554.3	5,747.9	14,826.3	15,317.7	15,756.3	16,193.3	17,302.7
A115	Taxes on international trade & transactions	4,039.4	3,684.0	1,488.4	3,139.3	3,690.7	1,726.0	3,841.5	3,982.2	4,110.4	4,239.1	4,567.1
A116	Other taxes	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A12	Social contributions	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A13	Grants	8,476.7	11,649.9	2,924.2	8,190.8	6,470.3	4,793.2	5,236.1	5,529.0	4,738.3	4,838.4	4,788.3
A14	Other revenue	12,049.8	15,100.5	8,074.5	16,573.5	14,456.3	6,505.5	15,047.0	15,598.2	16,100.6	16,604.4	17,889.4
A2	Expense	26,362.9	29,915.0	15,987.3	35,128.3	38,643.6	15,921.6	35,684.7	36,248.2	35,452.8	36,157.9	36,778.3
A21	Compensation of employees	12,837.6	14,270.1	7,159.4	15,471.2	17,103.8	7,750.0	17,304.9	17,876.2	18,196.7	18,574.4	18,950.1
A22	Use of goods and services	7,694.8	9,578.4	4,251.9	9,849.7	12,967.1	4,415.1	10,844.5	10,724.8	9,653.4	9,725.6	9,804.8
A23	Consumption of fixed capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A24	Interest	921.2	941.9	375.7	861.7	560.4	336.4	868.0	766.1	687.9	810.5	867.4
A25	Subsidies	115.5	201.0	909.8	1,508.2	905.9	73.9	156.7	162.3	165.5	169.2	172.7
A26	Grants	2,620.8	2,514.1	1,761.0	4,019.8	4,607.3	2,109.9	4,290.8	4,407.9	4,419.8	4,502.5	4,573.7
A27	Social benefits	1,049.2	616.0	781.6	1,315.0	962.9	159.7	948.4	1,002.9	997.1	1,018.7	1,027.0
A28	Other expense	1,123.8	1,793.6	747.8	2,102.7	1,536.2	1,076.6	1,271.4	1,308.1	1,332.3	1,357.2	1,382.5
GOB	Gross operating balance (1-2+23+NOBz)	12,704.4	14,989.3	3,163.2	4,363.6	1,008.3	3,053.2	3,766.2	4,697.1	5,787.7	6,269.0	8,363.6
NOB	Net operating balance (1-2+NOBz)	12,704.4	14,989.3	3,163.2	4,363.6	1,008.3	3,053.2	3,766.2	4,697.1	5,787.7	6,269.0	8,363.6
TRANSACTIONS IN NONFINANCIAL ASSETS:												
A31	Net Acquisition of Nonfinancial Assets	6,401.1	11,968.6	2,577.1	6,779.2	6,326.8	1,472.8	8,123.7	5,091.1	3,386.0	1,131.8	1,060.6
A311	Fixed assets	6,401.1	11,968.6	2,577.1	6,779.2	6,326.8	1,472.8	8,123.7	5,091.1	3,386.0	1,131.8	1,060.6
A312	Change in inventories	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A313	Valuables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A314	Nonproduced assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
NLB	Net lending / borrowing (1-2+NOBz-31)	6,303.3	3,020.7	586.2	(2,415.6)	(5,318.5)	1,580.4	(4,357.5)	(394.0)	2,401.7	5,137.1	7,303.0
TRANSACTIONS IN FINANCIAL ASSETS AND LIABILITIES (FINANCING):												
A32	Net acquisition of financial assets	8,502.4	7,287.7	(974.7)	(1,110.6)	(2,034.2)	(1,795.2)	(1,788.4)	(358.9)	1,716.2	1,144.1	1,846.4
A321	Domestic	8,502.4	7,287.7	(974.7)	(1,110.6)	(2,034.2)	(1,795.2)	(1,788.4)	(358.9)	1,716.2	1,144.1	1,846.4
A3212	Currency and deposits	8,502.4	5,287.7	(2,600.3)	(2,736.2)	(2,034.2)	(1,795.2)	(1,788.4)	(358.9)	1,716.2	1,144.1	1,846.4
A3214	Loans	0.0	2,000.0	1,625.6	1,625.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A322	Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
A33	Net incurrence of liabilities	2,199.2	4,266.9	(1,560.8)	1,305.0	3,284.3	(3,375.6)	2,569.1	35.1	(685.5)	(3,993.0)	(5,456.6)
A331	Domestic	(1,615.7)	(672.9)	-	2,447.2	1,652.8	(908.6)	(1,111.9)	(1,115.1)	0.0	0.0	(1,029.6)
A332	Foreign	3,814.8	4,939.8	(1,560.8)	(1,142.2)	1,631.5	(2,467.0)	3,681.0	1,150.2	(685.5)	(3,993.0)	(4,427.0)

Source: Department of Finance and Treasury